

UNIVERSITY OF SOUTH CAROLINA
Management's Discussion and Analysis
(Unaudited)

Excluding the impact of GASB 68 and GASB 75 on unrestricted net position, the University's unrestricted net position was \$2.5 billion at June 30, 2024, and \$2.3 billion at June 30, 2023, reflecting an increase of \$242.5 million or 10.6 percent.

Net Position Excluding GASB 68 and GASB 75

Dollars in thousands

			Increase (Decrease)	
	2024	2023	Amount	Percent Change
Net investment in capital assets	\$ 898,035	\$ 844,709	\$ 53,326	6.3%
Restricted for:				
Nonexpendable	91,292	87,653	3,639	4.2%
Expendable	563,920	446,306	117,614	26.4%
Unrestricted	981,920	914,047	67,873	7.4%
Total Net Position excluding GASB 68 and GASB 75	\$ 2,535,167	\$ 2,292,715	\$ 242,452	10.6%

STATEMENT OF REVENUES, EXPENSES AND CHANGES IN NET POSITION

The Statement of Revenues, Expenses and Changes in Net Position presents the revenues earned and expenses incurred during the year. Activities are reported as either operating or nonoperating. A public university's dependency on state and federal aid and gifts will result in operating deficits. GASB requires state appropriations, federal Pell grants, and gifts to be classified as nonoperating revenues. The utilization of long-lived assets, referred to as capital assets, is reflected in the financial statements as depreciation and amortization, which amortizes the cost of an asset over its expected useful life.

Changes in net position as presented on the Statement of Net Position are based on the activity presented in the Statement of Revenues, Expenses and Changes in Net Position. The purpose of the statement is to present the revenues received by the institution, both operating and nonoperating, and the expenses paid by the institution, operating and nonoperating, and any other revenues, expenses, gains and losses received or spent by the institution.

Operating revenues are received for providing goods and services to the various customers and constituencies of the institution. Operating expenses are those expenses paid to acquire or produce the goods and services provided in return for the operating revenues, and to carry out the mission of the institution. Nonoperating revenues are revenues received for which goods and services are not provided. State capital appropriations and capital grants and gifts are revenue sources with restrictions to be used on capital projects and capital initiatives and are considered neither operating nor nonoperating revenues and are presented as standalone sources according to GASB.

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The Statement of Revenues, Expenses and Changes in Net Position presents the University's results of activities for the year. Presented below is a summarized condensed statement for the years ended June 30, 2024, and June 30, 2023:

Condensed Statement of Revenues, Expenses and Change in Net Position

Dollars in thousands

	2024	2023	Increase (Decrease)	
			Amount	Percent
<i>Operating Revenues:</i>				
Student Tuition and Fees, Net	\$ 580,826	\$ 555,057	\$ 25,769	4.6%
Grants and Contracts	416,796	380,415	36,381	9.6%
Sales and Services, Net	261,660	240,129	21,531	9.0%
Other Operating Revenues	22,596	23,523	(927)	-3.9%
Total Operating Revenues	1,281,878	1,199,124	82,754	6.9%
Operating Expenses	1,682,473	1,550,251	132,222	8.5%
Operating Loss	(400,595)	(351,127)	(49,468)	14.1%
<i>Nonoperating Revenues (Expenses):</i>				
State and Local Appropriations	431,466	293,184	138,282	47.2%
Federal Grants	61,079	66,334	(5,255)	-7.9%
Gifts	59,812	56,075	3,737	6.7%
Investment and Endowment Income (Loss)	24,387	10,835	13,552	125.1%
Nonoperating Expenses	(32,640)	(27,967)	(4,673)	16.7%
Net Nonoperating Revenues	544,104	398,461	145,643	36.6%
Income before Other Revenues	143,509	47,334	96,175	203.2%
Capital Appropriations	88,463	114,350	(25,887)	-22.6%
Capital Grants and Gifts	50,597	9,112	41,485	455.3%
Additions to Permanent Endowments	4,437	254	4,183	1646.7%
Increase in Net Position	287,006	171,050	115,956	67.8%
Net Position - July 1	321,445	150,395	171,050	113.7%
Net Position - June 30	\$ 608,451	\$ 321,445	\$ 287,006	89.3%

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OPERATING REVENUES

Operating revenues represent resources generated by the University in fulfilling its instruction, research, and public service missions.

Student Tuition and Fees — Student tuition and fees (net) for fiscal year 2024 increased 4.6 percent over the prior year. Student tuition and fees are reported net of scholarship discounts, which totaled \$580.8 million for fiscal year 2024 and \$555.1 million for the prior year. Tuition rates for fiscal year 2024 did not increase.

Sales and Services — Sales and services, net revenues increased 9.0 percent or \$21.5 million in fiscal year 2024 and includes the revenues of campus auxiliary and educational operations (student housing, campus health services, parking and transportation, athletics, study abroad, and campus events).

Grants and Contracts — Revenues and expenditures from all sponsored projects increased in fiscal year 2024 reflecting a continued upward trajectory which aligns with University priorities to increase research with an increase in revenue of \$36.4 million or 9.6 percent.

Federal Grants and contract revenues increased 16.6 percent in fiscal year 2024 due to increased activities and projects related to sponsored awards. Sponsored project funding comes in the form of grants and contracts awarded by federal and state agencies, foundations and other nonprofit organizations, corporations and associations, with the federal government providing the majority of the awards. Securing sponsored program funding has become increasingly competitive. A key factor in dealing with such competitive pressures is diversifying funding sources and bringing in more awards from foundations and private industry.

The National Institutes of Health (NIH) remained the University's single largest funding source, with expenditures totaling \$63.2 million, which was up from the fiscal year 2023 total of \$55.2 million. The NIH's strong and ongoing support reflects positively on the University's health-related professional schools (public health, medicine, nursing, and pharmacy), and basic and social science units in the College of Arts & Sciences.

The University's other top sponsored program expenditures were funded by the National Science Foundation at \$18.0 million; the U.S. Department of Energy at \$7.8 million; the Health Resources and Services Administration (HRSA) at \$4.6 million; the Centers for Disease Control and Prevention (CDC) at \$4.0 million; the U.S. Department of Education at \$10.4 million; Office of Naval Research (ONR) at \$8.5 million; the U.S. Department of State at \$2.0 million; Small Business Administration at \$1.9 million, and the U.S. National Aeronautics and Space Administration at \$3.0 million.

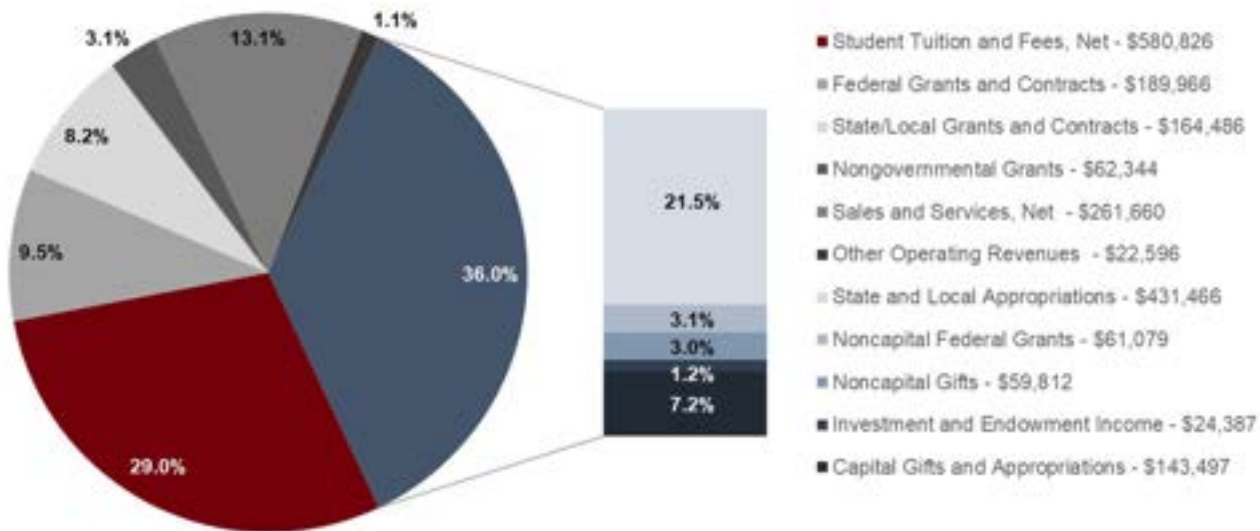
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REVENUES AND OTHER SOURCES OF OPERATIONAL FUNDING

The revenues below were used to fund the University's operating activities for the fiscal year ended June 30, 2024. As noted earlier, GASB requires state appropriations, current gifts, and federal Pell grants as nonoperating revenues. Endowment and investment earnings and losses can fluctuate and vary greatly from year to year with market gains and losses. However, they are an important funding source for current operations and are included in the chart below to present a more accurate picture of the University's funding of current operations.

Revenues by Source

Dollars in thousands



Net student tuition and fees, and grants and contracts were the largest revenues providing 29.0 percent and 20.8 percent respectively. Sales and services, net revenue was 13.1 percent.

State appropriations, noncapital gifts and grants, federal Pell funds, and net investment income are considered nonoperating because they are not generated by the University's principal, ongoing operations. State appropriations are provided from the State of South Carolina annually to help fund education and general operating expenses. State and local appropriations revenue totaled \$431.5 million for fiscal year 2024, an increase of \$138.3 million from the \$293.2 million received during the prior year. The increase in state appropriations is due to the tuition mitigation funding of \$43.5 million, cost-of-living salary increases, state bonuses and annual state health insurance allocation of \$24.9 million, and program specific projects on the Columbia campus Rural Brain Health Institute, School of Law programs and student support, University programs in STEM and High Demand Areas, School of Medicine programs, Battelle Alliance and Savannah River National Lab, and Rural Health Initiatives of \$69.5 million.

Noncapital gifts increased \$3.7 million and nonoperating federal grants decreased \$5.3 million which is attributed to the decrease in HEERF student emergency grants. The University's investments and endowments are held and invested by the South Carolina State Treasurer's Office and increased by \$13.6 million. Investment income includes investment yield and realized and unrealized gains and losses, net of investment management fees.

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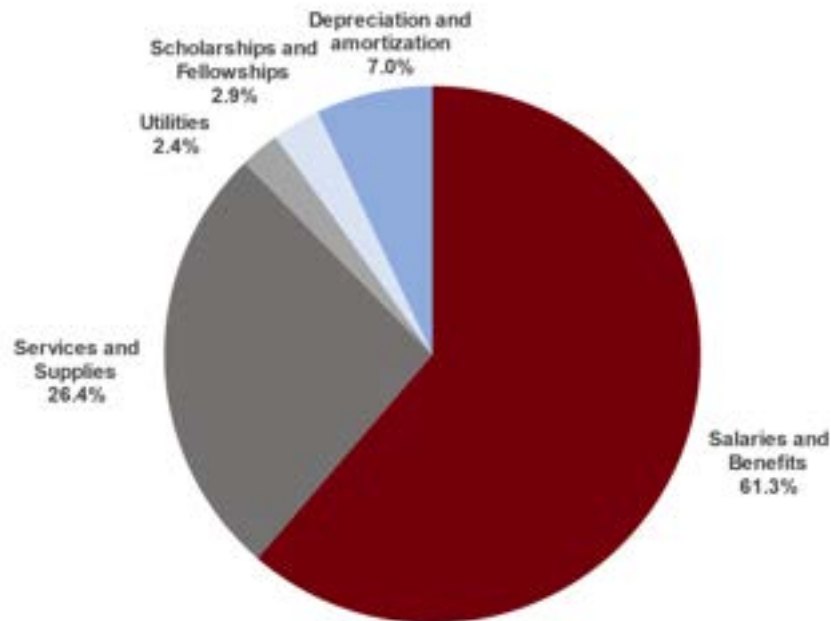
OPERATING EXPENSES

The University's operating expenses were \$1.7 billion for the fiscal year ended June 30, 2024, an increase of 8.5 percent from the prior year. The salary and benefits increase of \$62.5 million is due to a cost-of-living adjustment for employees from the State, the services and supplies increase of \$36.7 million is due to inflation, and utilities increased \$3.1 million due to the increase in energy costs worldwide. The scholarship and fellowship increase of \$5.0 million is due to general scholarships for need based students. The depreciation and amortization increase of \$24.9 million is due primarily to an increase in building depreciation related to public private partnership arrangements.

Operating Expenses by Natural Classification

Dollars in thousands

	2024	2023	Increase (Decrease)	
			Amount	Percent
Salaries and Benefits	\$ 1,031,392	\$ 968,875	\$ 62,517	6.5%
Services and Supplies	443,503	406,767	36,736	9.0%
Utilities	40,227	37,118	3,109	8.4%
Scholarships and Fellowships	48,806	43,802	5,004	11.4%
Depreciation and amortization	118,545	93,689	24,856	26.5%
Total Operating Expenses	\$ 1,682,473	\$ 1,550,251	\$ 132,222	8.5%



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Instruction and research have historically represented the largest non-auxiliary functional expense categories: 44.6 percent of total operating expenses in fiscal year 2024 and 44.0 percent in fiscal year 2023. The next largest functional category, auxiliary expenses, represented 13.3 percent of total operating expenses in fiscal year 2024 and 12.5 percent in fiscal year 2023. The pension and OPEB expense represents the adjustment needed to properly reflect the net pension liability and OPEB liability in accordance with GASB Statements No. 68 and 75. The negative pension and OPEB expense in the current fiscal year is attributable to actuarial fluctuations as provided in the State's pension and OPEB audit. See Notes 5 and 6 for additional details. Across all functional categories, salaries and benefits represent the largest component followed by services and supplies.

Operating Expenses by Function

Dollars in thousands

	2024	2023	Increase (Decrease)	
			Amount	Percent
Instruction	\$ 563,004	\$ 518,896	\$ 44,108	8.5%
Research	186,458	164,334	22,124	13.5%
Public service	94,382	78,335	16,047	20.5%
Academic support	128,346	124,155	4,191	3.4%
Student services	105,169	95,751	9,418	9.8%
Institutional support	130,591	120,470	10,121	8.4%
Operation and plant maintenance	128,608	118,715	9,893	8.3%
Auxiliary enterprises	223,681	194,376	29,305	15.1%
Scholarships and fellowships	43,540	38,377	5,163	13.5%
Pension and OPEB expense	(39,851)	3,153	(43,004)	-1363.9%
Depreciation and amortization	118,545	93,689	24,856	26.5%
Total Operating Expenses	\$ 1,682,473	\$ 1,550,251	\$ 132,222	8.5%

